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Lessons Learned: Katalin Mérő

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Yale Program on Financial Stability

Lessons Learned

Katalin Mérő

By Salil Gupta

Between 1990 and 2010, Katalin Mérő served in various roles for Hungary's central bank, Magyar Nemzeti Bank, and the Hungarian Financial Supervisory Authority. She led the Economics, Risk Assessment, and Regulatory Directorate between 2005 and 2019 and was the deputy head of the Financial Stability Department. She was also a member of the Joint Board of Appeal of European Supervisory Authority from 2011 to 2021. Mérő graduated from the Corvinus University of Budapest and received a PhD in 2005 from the Budapest University of Technology and Economics. Since 2016, she has served as an associate professor at Budapest Business School, University of Applied Sciences in Budapest. This Lessons Learned summary is based on an interview held in October 2022; the full transcript is available [here](#).

For a banking system that is evolving from one that is government controlled to a private model based on international best practices and standards, researching the experiences and available structures of other systems can result in a more efficient evolution.

The evolution of the Hungarian banking system has valuable lessons for other evolving systems. During the socialist period, Hungary's central bank provided commercial loans to the economy, while a large bank, OTP, was tasked with taking deposits and providing loans to households. The system was characterized by limited regulation and undercapitalization. The collapse of the Soviet Union in 1991 provided Hungary with the opportunity to create a more stable and sound banking system.

After 1991, Hungary created five new commercial banks to take over the central bank's previous role of providing corporate loans. This created a two-tier banking system in which commercial and retail clients were each serviced by separate banks. It took a few more years for the creation of a single banking system with adequate regulatory infrastructure that catered to both corporations and households in Hungary.

Mérő explained:

In the late '80s, it was not a stable banking system, of course. This is the legacy, and there were several bank consolidation waves in Hungary in which the capital of the banks was raised to eliminate the losses. There was a regulatory package introduced, as I remember it, in 1991, which was worked out with the help of the World Bank experts. The Hungarian regulators worked out the new regulatory reform, which was in line with international best practices. The banking law, the central bank law, the accounting law, the bankruptcy law, all changed in one huge regulatory wave. We called it regulatory shock therapy.

Hungary's banking system received several recapitalization (or "consolidation") packages from the government because of legacy nonperforming loans provided to state-owned

companies in the 1980s. After the government's clean-up efforts, some banks were privatized and sold to foreign owners.

In the early 1990s, Hungary had almost no banking regulation, with a simple 5% capital requirement, and no provisioning rules for banks. Mérő recalls that the banking system was technically insolvent, owing to the central bank's poor business assessments in providing commercial loans and very high compensation levels. This led to the creation of an independent body dedicated to banking regulation. This regulatory body was later expanded to include the securities market and eventually formed Hungary's Financial Supervisory Authority.

In 2013, the Hungarian central bank was merged with the Financial Supervisory Authority. The central bank was responsible for macroprudential policies, such as adopting Basel III capital rules, and determining capital buffers for individual banks.

Mérő believes that it would have been helpful for Hungary to have joined the European banking union, since the union adds an element of discipline to banking supervision. In such a scenario, the European Central Bank (ECB) would have been directly responsible for supervising the largest banks in Hungary. The ECB would also have been able to make recommendations on regulatory rules, with the final power of authorization remaining with the Hungarian central bank. Hungary would have benefitted by adopting international best practices and employing better-trained staff.

Although loans in foreign currencies may seem attractive because of lower interest rates, it is essential that policymakers analyze all possible negative scenarios to uncover both exchange rate and systemic risks and then balance those risks against the benefits.

Hungary underestimated the risks of allowing households to take mortgage loans in foreign currencies. In 2000, the Hungarian government first introduced a government-supported lending facility to improve the mortgage offerings for households and support home ownership. The government provided subsidies for such mortgages that increased under a later version of the program. However, by the mid-2000s government subsidies were cut back and banks began offering foreign-currency-denominated mortgages, in Swiss francs and euros. At the time, Hungarian forint-denominated loans had relatively high interest rates of 8%, compared to euro-denominated loans at rates of 1 to 2%, which became popular.

One of the mistakes regulators made was to underestimate the risks of allowing households to acquire foreign-currency-denominated mortgages without a thorough analysis of the wider systemic implications and all possible scenarios. They assumed that Hungary would, as planned, adopt the euro as its common currency before the longer-dated euro-denominated mortgage loans matured. Not only were the central bank and the Financial Supervisory Authority late in noticing the buildup in foreign currency loans, but after a change in government, Hungary adopted a constitutional amendment keeping it out of the eurozone.

Mérő pointed out:

I think, at that time, it was our belief that by the expiry of the loans, Hungary would be a member of the eurozone. We didn't know when, but at some point in time, between issuing the loan and repaying the loan, there would be the eurozone membership. . . .

I think that the major mistake was our mistake. [The] central bank's and the Financial Supervisory Authority's as well. We recognized very, very late several things. . . .

However, the problem was that we analyzed the exchange rate co-movement between the Swiss franc and the euro, and previously the German mark. Because the euro is in a way a successor of the German mark. We calculated the correlation between the two with a 30-year backward window. We found that there [was] a more than 90% correlation between the German mark rate or the euro and the Swiss franc. That's why we didn't recognize that the Swiss franc and the euro's co-movement can disappear from the market, because during crisis time, the Swiss franc is a currency that is a safe haven for investors. This was a mistake.

In October 2007, the Financial Supervisory Authority identified the problem with foreign currency loans and wrote a warning letter to the heads of the major banks. Owing to the lack of data sharing and unclear division of responsibilities between regulators, the Hungarian regulators were unable to recognize the maturity mismatch in a timely manner.

Mérő believes that a deeper analysis of increased mortgage lending in foreign currencies by regulators would have identified the systemic risks sooner.

I think this FX lending was a mistake, definitely. I think it's a lesson that there is no free lunch, [even when it] seems like a free lunch. . . . If there are more loans for the lower price, it means more risk.

A financial crisis knows no borders. International cooperation and adopting best practices can help regulators prepare for and deal with a crisis that may originate outside one's borders.

Hungary falsely assumed that the contagion from the US subprime crisis would not impact its economy, due to the lack of securitized assets in its system. Before September 2008, Hungary's regulators were preparing for the adoption of the Basel II capital rules. Mero states that Hungary's regulators were blindsided by the collapse of Lehman Brothers mid-month and the worsening Global Financial Crisis. Hungary experienced a sudden stop in foreign exchange lending, along with maturity mismatches in the banking system. Refinancing activity dried up because of the overleveraged nature of Hungarian households and banks at the time. Mérő recalled:

Lehman Brothers collapsed in September of 2008, and by that time we were ready with the Basel II implementation, but we were not prepared for the Global Financial Crisis, because we [thought] that in Hungary we are not affected, until the moment

Lehman Brothers collapsed. It was a shock for us that Lehman Brothers collapsed, and the Global Financial Crisis emerged. I can say that we were not prepared for it. It was a surprise and a shock for the Hungarian regulators, authorities, financial markets, for everybody. . . .

There were negotiations with the parent banks not to withdraw their support from the Central European subsidiaries because it was of the utmost importance not to withdraw the funds because even the parent banks were in trouble. They were full of toxic assets. Their governments helped them, and the foreign governments, of course, didn't want their banks to finance Central Europe.

That's why there was the so-called Vienna Initiative to manage this situation, in which the owners of the banks, and the governments, agreed that the Western European banks would not withdraw funds from the Central Europe area and would continue to finance their subsidiaries. This was the most urgent step to solve that problem, [where] short-term finance could have disappeared from the balance sheet of the banks.

Mérő said that such international cooperation during crisis periods is very important to help stabilize the financial system. She also pointed to the efforts taken by Hungary after the crisis to strengthen its infrastructure by adopting "all the tools which are offered, or which are in line with the Capital Requirements Directive (CRD) and the Capital Requirements Regulation (CRR), [which is] the European version [of] Basel III's regulation." These steps helped prepare the system for the next crisis and gave the central bank tools it could effectively deploy during the COVID-19 crisis.

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